them off my hands a market cycle later. Every few years things change: new people come in, new analysts, and new attitudes.

Look for stocks that have basic value but are out of fashion.

Favor and disfavor in the stock market get overdone time after time. I vividly remember being considered a dangerous loony in the early 1960s, when I was working as a stock analyst, for suggesting to some trust department people that they unload their drug stocks, selling at forty times earnings, and use the money to buy airline stocks, which were dirt cheap. The airlines' transition from propellers to jets lowered costs, so fares came down and demand went up, and for a few years the airline industry was a fast-growth, highly profitable business. In the seventies it was the oil stocks that had a tremendous upsurge, and then they suffered a tremendous decay all through the eighties. These moves can go on for a long time.

In the spring of 1996 technology stocks had enjoyed a huge run, and I began to believe it was time for a breather. The apparel business, on the other hand, had been awful. Wasn't it logical that at some point some woman somewhere would want a new dress? I thought it about time to sell the techs and buy the retailers, and sure enough, in the summer the former took a considerable hit and the retailers started a nice move up.

So Much for Sophistication

Herd instincts are as prevalent as ever. We're all supposed to be more sophisticated investors now, but human psychology doesn't